UK CPI (Mar-26): Iran war fuels upward move in inflation

- UK CPI inflation accelerates to 3.3% in March from 3.0% - in line with our and market expectations
- Upward contributions largely confined to energy-related items as motor fuel and heating oil prices rise
- Core rate eases from 3.2% to 3.1% in March, indicating limited signs of broader price pressures
- Nevertheless, concerns over second-round effects keeps financial markets looking for rate hikes this year

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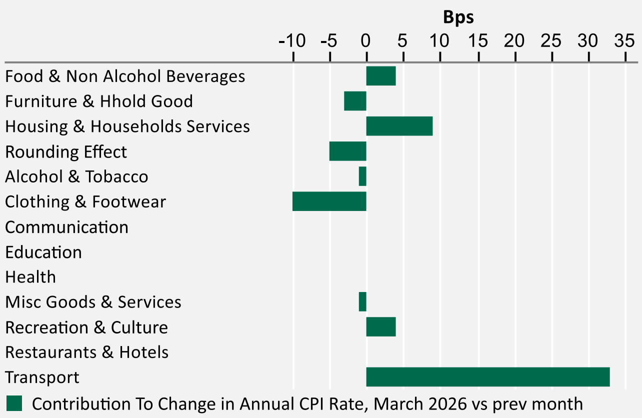
UK CPI inflation moves up to 3.3% in March

UK inflation data for March showed the first signs of impact from the Iran war, with headline CPI rising to 3.3% y/y, up from 3.0% in February, in line with both our own and broader market expectations. The rise in inflation was driven almost entirely by components directly affected by the sharp rise in oil prices following the escalation of the conflict in the Middle East. In particular, prices for motor fuel and domestic heating oil surged. Beyond energy-related categories, price movements were relatively muted. Indeed, core inflation, which excludes energy prices and provides a measure of underlying price pressures, edged down to 3.1% from 3.2%, matching the Bank of England's pre-conflict projections. This suggests little evidence so far of second-round inflation effects, although it is still early for these to have materialised. Nonetheless, concerns that such effects could eventually emerge have led financial markets to continue pricing in a tightening policy bias, with approximately 40bp of Bank Rate increases currently expected this year.

Upward contributions mostly came from energy items

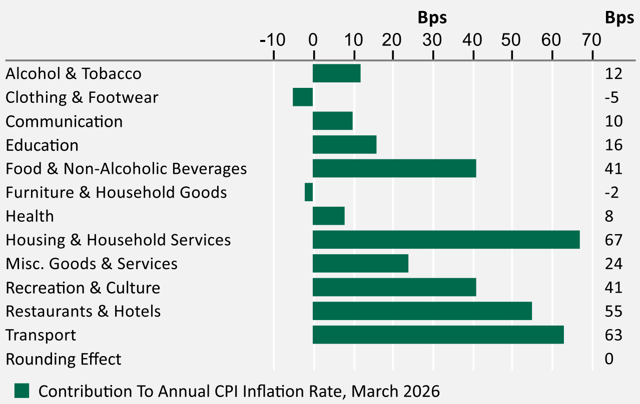
As chart 1 shows, the two areas that contributed the most to the upward move in UK CPI inflation from 3.0% y/y to 3.3% y/y between February and March were transport and housing. For the latter, this largely reflected the relatively swift feed-through from higher oil prices to heating oil, an area of domestic fuel not covered by the Ofgem energy price cap and which saw prices rise by over 90% m/m. Within transport, the largest contribution to the upward move came from

Chart 1: Higher petrol & diesel prices the main driver of the rise in inflation in March



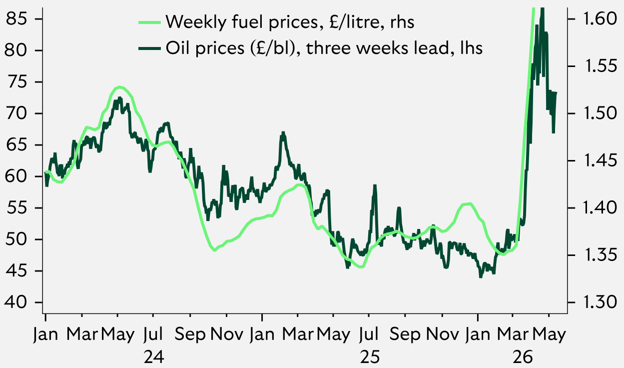
Source: Macrobond, ONS, Lloyds Bank Market Insights

Chart 2: Inflation remains relatively broad-based



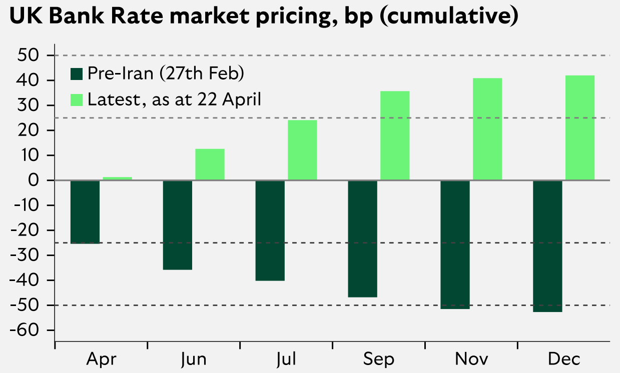
Source: Macrobond, ONS, Lloyds Bank Market Insights an 8.7% m/m rise in petrol and diesel prices. At present, April is on track to see a further ~13% m/m rise. Airfares also made a notable contribution to the rise in inflation last month as prices rose 10% m/m relative to a 0.3% m/m fall in March 2025. However, while increases in jet fuel prices are likely to feature in higher-than-previously-expected airfares this year, the upward contribution made in March looks to have been driven less by this and more by seasonal rises given the closer proximity of the price collection date to the Easter holidays relative to last year. This was most likely the reason for the uptick in services inflation in March, from 4.3% y/y to 4.5% y/y and by a little more than we had expected (Lloyds: 4.4%, Bloomberg consensus: 4.3%), but which should unwind in next month's release.

Chart 3: Recent declines in oil prices point to some fallback in motor fuel prices



Source: Bloomberg, ONS, Macrobond, Lloyds Bank Market Insights

Chart 4: Markets continue to view rate hikes as more likely in 2026 than rate cuts



Source: Bloomberg, Macrobond, Lloyds Bank Market Insights

Aside from energy-related items, the only other notable move came in clothing and footwear where, despite rising by 0.6% m/m, prices were 0.8% lower in March relative to a year ago. To our minds, that was likely due to some persistence of discounting, especially for spring items on account of persistent wet weather earlier in the year. This was mostly responsible for the core rate of inflation edging down to 3.1% y/y in March from 3.2% y/y which, while a touch lower than the unchanged 3.2% we and the consensus had expected, was in line with the forecasts contained in the Bank of England's February Monetary Policy Report. This is an indication that underlying price pressures had continued to move in line with the BoE's expectations in March.

Updated forecasts and policy implications

Looking ahead, the onset of the Iran war means that UK inflation will be higher than previously expected. That said, the outlook is still consistent with the headline rate moving back below 3% in the near term, on account of the drop in the Ofgem energy price cap level from April, that was set before the onset of the Iran war. However, the rate of CPI inflation is not expected to drop to ~2% as we previously expected, instead only falling to around 2.7% before accelerating meaningfully again in July and back above 3% on account of the sharp rise predicted in the Ofgem price cap in July (~11% based on current wholesale energy prices), see our forecasts on the next page.

However, we expect the core rate of inflation to be less elevated, on account of second-round effects being less pronounced than during the last energy-price shock in 2022. This, to our minds, also means the case for rate rises is also less strong than it was back then. Nevertheless, we expect the MPC to continue signalling a readiness to act if necessary, suggesting that the risk of rate hikes will remain alive for some time still.

Table 1: UK Inflation forecasts

		CPI			Core CPI			RPI			CPIH		
		Index	%Mth	%Yr	Index	%Mth	%Yr	Index	%Mth	%Yr	Index	%Mth	%Yr
Monthly	Jan-25	135.4	-0.1	3.0	131.9	-0.4	3.7	391.7	-0.1	3.6	135.1	0.0	3.9
	Feb-25	136.0	0.4	2.8	132.4	0.4	3.5	394.0	0.6	3.4	135.6	0.4	3.7
	Mar-25	136.5	0.3	2.6	133.1	0.5	3.4	395.3	0.3	3.2	136.1	0.3	3.4
	Apr-25	138.2	1.2	3.5	134.9	1.4	3.8	402.2	1.7	4.5	137.7	1.2	4.1
	May-25	138.4	0.2	3.4	135.1	0.2	3.5	402.9	0.2	4.3	138.0	0.2	4.0
	Jun-25	138.9	0.3	3.6	135.6	0.4	3.7	404.5	0.4	4.4	138.4	0.3	4.1
	Jul-25	139.0	0.1	3.8	135.8	0.2	3.8	406.2	0.4	4.8	138.5	0.0	4.2
	Aug-25	139.3	0.3	3.8	136.2	0.3	3.6	407.7	0.4	4.6	138.9	0.3	4.1
	Sep-25	139.3	0.0	3.8	136.2	0.0	3.5	406.1	-0.4	4.5	138.9	0.0	4.1
	Oct-25	139.8	0.4	3.6	136.6	0.3	3.4	407.4	0.3	4.3	139.5	0.4	3.8
	Nov-25	139.5	-0.2	3.2	136.3	-0.2	3.2	405.6	-0.4	3.8	139.4	-0.1	3.5
	Dec-25	140.1	0.4	3.4	136.7	0.3	3.2	408.5	0.7	4.2	139.9	0.4	3.6
	Jan-26	139.5	-0.5	3.0	135.9	-0.6	3.1	406.4	-0.5	3.8	139.4	-0.3	3.2
	Feb-26	140.1	0.4	3.0	136.7	0.6	3.2	408.2	0.4	3.6	140.0	0.4	3.2
	Mar-26	141.0	0.7	3.3	137.2	0.4	3.1	411.4	0.8	4.1	140.8	0.6	3.4
	Apr-26	142.0	0.7	2.7	138.1	0.6	2.4	416.9	1.3	3.7	141.7	0.7	2.9
	May-26	142.5	0.4	2.9	138.7	0.4	2.7	418.7	0.4	3.9	142.2	0.4	3.0
	Jun-26	142.7	0.1	2.8	138.9	0.2	2.5	419.8	0.3	3.8	142.4	0.1	2.8
	Jul-26	143.5	0.6	3.3	139.2	0.2	2.5	423.9	1.0	4.3	143.2	0.6	3.4
	Aug-26	143.8	0.2	3.2	139.4	0.1	2.4	425.8	0.5	4.4	143.5	0.2	3.3
	Sep-26	144.1	0.2	3.4	139.7	0.2	2.6	424.6	-0.3	4.5	143.8	0.2	3.5
	Oct-26	144.3	0.2	3.2	140.1	0.3	2.6	424.7	0.0	4.2	144.0	0.1	3.3
	Nov-26	144.4	0.0	3.5	140.0	0.0	2.8	423.9	-0.2	4.5	144.2	0.1	3.5
	Dec-26	144.8	0.3	3.3	140.5	0.3	2.8	426.0	0.5	4.3	144.5	0.2	3.3
	Jan-27	144.3	-0.3	3.4	139.6	-0.6	2.7	424.3	-0.4	4.4	144.2	-0.2	3.4
	Feb-27	144.8	0.3	3.4	140.1	0.4	2.5	425.2	0.2	4.2	144.6	0.3	3.3
	Mar-27	145.2	0.3	2.9	140.7	0.4	2.5	426.4	0.3	3.6	144.9	0.2	2.9
	Apr-27	146.0	0.6	2.8	141.6	0.7	2.5	430.6	1.0	3.3	145.6	0.5	2.8
	May-27	146.5	0.3	2.8	142.2	0.4	2.5	430.8	0.1	2.9	146.1	0.3	2.8
	Jun-27	146.8	0.2	2.9	142.6	0.3	2.6	432.0	0.3	2.9	146.4	0.2	2.8
	Jul-27	146.9	0.0	2.3	142.7	0.1	2.5	433.7	0.4	2.3	146.5	0.1	2.3
	Aug-27	147.1	0.1	2.3	142.8	0.1	2.4	435.4	0.4	2.3	146.7	0.1	2.2
	Sep-27	147.2	0.1	2.2	143.1	0.2	2.4	433.9	-0.3	2.2	146.9	0.2	2.1
	Oct-27	147.5	0.2	2.2	143.6	0.3	2.5	436.0	0.5	2.7	147.1	0.2	2.2
	Nov-27	147.5	0.0	2.2	143.5	-0.1	2.5	435.8	0.0	2.8	147.2	0.1	2.1
	Dec-27	147.9	0.2	2.1	143.9	0.3	2.4	437.9	0.5	2.8	147.5	0.2	2.1
Quarterly	Q1-2024	132.3		3.5	127.9		4.6	380.7		4.6	130.8		3.9
	Q2-2024	133.8		2.1	130.4		3.6	386.2		3.0	132.7		2.9
	Q3-2024	134.1		2.0	131.3		3.3	388.7		3.3	133.3		2.9
	Q4-2024	135.2		2.5	132.2		3.3	391.2		3.5	134.7		3.4
	Q1-2025	136.0		2.8	132.5		3.6	393.7		3.4	135.6		3.6
	Q2-2025	138.5		3.5	135.2		3.7	403.2		4.4	138.0		4.1
	Q3-2025	139.2		3.8	136.1		3.6	406.7		4.6	138.8		4.1
	Q4-2025	139.8		3.4	136.5		3.3	407.2		4.1	139.6		3.6
	Q1-2026	140.2		3.1	136.6		3.2	408.7		3.8	140.0		3.3
	Q2-2026	142.4		2.8	138.6		2.5	418.5		3.8	142.1		2.9
	Q3-2026	143.8		3.3	139.5		2.5	424.7		4.4	143.5		3.4
	Q4-2026	144.5		3.3	140.2		2.7	424.9		4.3	144.2		3.3
	Q1-2027	144.7		3.3	140.2		2.6	425.3		4.1	144.6		3.2
	Q2-2027	146.4		2.8	142.1		2.5	431.1		3.0	146.0		2.8
	Q3-2027	147.0		2.3	142.9		2.5	434.3		2.3	146.7		2.2
	Q4-2027	147.6		2.2	143.7		2.5	436.6		2.8	147.3		2.1
Annual	2022	121.7		9.0	118.5		5.9	340.3		11.5	120.5		7.9
	2023	130.6		7.4	125.8		6.2	373.3		9.8	128.6		6.8
	2024	133.9		2.5	130.5		3.7	386.7		3.6	132.9		3.3
	2025	138.4		3.4	135.1		3.5	402.7		4.1	138.0		3.9
	2026	142.7		3.1	138.7		2.7	419.2		4.1	142.5		3.2
	2027	146.5		2.6	142.2		2.5	431.8		3.0	146.1		2.6

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